

This list of international hits kept coming, per Alejandro:

- In 1990, PepsiCo signed its largest commercial trade agreement in history with the Soviet Union. The same year, PepsiCo gained a controlling interest in Gamesa, the largest cookie company in Mexico.
- In 1994, PepsiCo also expanded into Vietnam. This made it the first major soft drink maker to begin production and distribution within that country. It also formed a partnership with Starbucks to offer ready-made coffee drinks in the United States.
- In 1998, Pepsi entered into a joint agreement with Empresas Polar SA of Venezuela and became the biggest snack-chip dealer in Latin America. This deal was part of its 1995 plan to introduce its Lay products to an additional 20 markets around the world.

The list of acquisitions of new properties continued too: Aquafina in 1997, Tropicana in 1998.

Financially, I'm drawn to two facts. The first is Pepsi's consistently high gross profit margins of 57 percent or better. As we'll see later, in chapter 12, this is a clue to the competitive position of Pepsi.

And second, the sales and profit growth was remarkable over time — as we've come to expect. Sales in 1962 were just \$192 million. By 2014, they were over \$64 billion. And this doesn't include the eventual spin-out of YUM Brands. Likewise, net profits went from \$15 million to over \$6 billion.

Over the period covered by the study, PepsiCo returned more than 1,000-fold.

Gillette

Gillette took nearly 32 years to become a 100-bagger.

You know the company as the maker of razor blades. "Gillette," Alejandro writes, "which has been owned by Proctor and Gamble for the past 10 years, has been estimated to possess as much as 70 percent of the razor blade market."